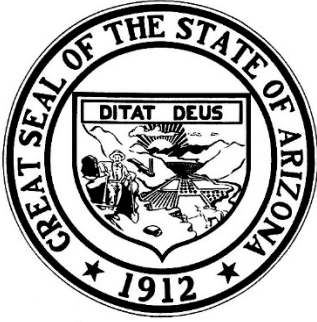




Bill Number: S.C.R. 1032

Hoffman Floor Amendment

Reference to: GOVERNMENT S/E Committee Amendment

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Replaces the requirement for each school district in Arizona to spend at least 60 percent of operational spending on teacher pay with a requirement for each school district that has a student count of at least 7,500 or operates a school in a county with a population of more than 500,000 persons to spend at least 60 percent of operational spending on direct instructional expenses.
2. Replaces the prescribed procedures to revert Classroom Site Fund (CSF) allocations to the CSF for a school district that is not complying with the requirement to spend 60 percent of operational spending on teacher pay with a stipulation that, if the Office of the Auditor General (OAG) determines that a school district did not comply with the requirements relating to spending 60 percent of operational spending on direct instructional expenses in the immediately preceding fiscal year, the Arizona Department of Education must reduce the school district's CSF allocation for the budget year by an amount equal to:
 - a) 25 percent of the amount that would otherwise be allocated, if the school district did not comply for one year;
 - b) 50 percent of the amount that would otherwise be allocated, if the school district did not comply for two years;
 - c) 75 percent of the amount that would otherwise be allocated, if the school district did not comply for three years;
 - d) the amount that would otherwise be allocated, if the school district did not comply for at least four years.
3. Removes the requirement for Joint Legislative Budget Committee Staff to adjust the CSF per-pupil calculations to exclude the weighted student count of any school district that is ineligible due to noncompliance.
4. Prohibits the Superintendent of Public Instruction (SPI) from issuing a school district more than two waivers to the requirements relating to the forfeiture of CSF monies during any 10-year period except as outlined, rather than from issuing a school district a waiver for more than 2 consecutive years.
5. Stipulates that, if the SPI issues a second waiver to a school district more than 4 years after the date on which the SPI issued the first waiver, the SPI may issue an additional waiver at any time during the 10-year period that begins on the date that the SPI issues the second waiver.
6. Directs the OAG to define *direct instructional expenses* and *operational spending* for the purposes of the requirements to spend at least 60 percent of operational spending on direct instructional expenses.
7. Removes the definitions of *teacher* and *teacher pay*.
8. Makes technical and conforming changes.

HOFFMAN FLOOR AMENDMENT
SENATE AMENDMENTS TO S.C.R. 1032
(Reference to GOVERNMENT S/E Committee amendment)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 Strike everything after the resolving clause and insert:

2 "1. Under the power of the referendum, as vested in the
3 Legislature, the following measure, relating to school district budgets,
4 is enacted to become valid as a law if approved by the voters and on
5 proclamation of the Governor:

6 AN ACT

7 AMENDING TITLE 15, CHAPTER 9, ARTICLE 1, ARIZONA REVISED
8 STATUTES, BY ADDING SECTION 15-917; RELATING TO SCHOOL
9 DISTRICT BUDGETS.

10 Be it enacted by the Legislature of the State of Arizona:

11 Section 1. Title 15, chapter 9, article 1, Arizona
12 Revised Statutes, is amended by adding section 15-917, to
13 read:

14 15-917. Operational spending; direct instructional
15 expenses; enforcement; waivers

16 A. EACH SCHOOL DISTRICT [IN THIS STATE] [THAT HAS A
17 STUDENT COUNT OF AT LEAST SEVEN THOUSAND FIVE HUNDRED OR THAT
18 OPERATES A SCHOOL IN A COUNTY WITH A POPULATION OF AT LEAST
19 FIVE HUNDRED THOUSAND PERSONS] SHALL SPEND AT LEAST SIXTY
20 PERCENT OF THE SCHOOL DISTRICT'S OPERATIONAL SPENDING [AS
21 DEFINED BY THE OFFICE OF THE AUDITOR GENERAL] ON [TEACHER PAY]
22 [DIRECT INSTRUCTIONAL EXPENSES]. BEGINNING IN FISCAL YEAR
23 2027-2028, ANY SCHOOL DISTRICT THAT SPENDS LESS THAN SIXTY
24 PERCENT OF THE SCHOOL DISTRICT'S OPERATIONAL SPENDING ON
25 [TEACHER PAY] [DIRECT INSTRUCTIONAL EXPENSES] SHALL INCREASE
26 THE PORTION OF THE SCHOOL DISTRICT'S OPERATIONAL SPENDING THAT
27 IS SPENT ON [TEACHER PAY] [DIRECT INSTRUCTIONAL EXPENSES] EACH
28 YEAR BY AT LEAST ONE-HALF OF ONE PERCENT PER YEAR UNTIL THE
29 SCHOOL DISTRICT IS IN COMPLIANCE, SUBJECT TO THE FOLLOWING:

1 1. IF A SCHOOL DISTRICT INCREASES THE PORTION OF THE
2 SCHOOL DISTRICT'S OPERATIONAL SPENDING ON ~~[TEACHER PAY]~~
3 [DIRECT INSTRUCTIONAL EXPENSES] BY MORE THAN ONE-HALF OF ONE
4 PERCENT PER YEAR, THE SCHOOL DISTRICT MAY COUNT THE PORTION OF
5 THE INCREASE THAT EXCEEDS ONE-HALF OF ONE PERCENT TOWARD ANY
6 INCREASE THAT IS REQUIRED IN A SUBSEQUENT YEAR.

7 2. IF A SCHOOL DISTRICT REDUCES THE PORTION OF THE
8 SCHOOL DISTRICT'S OPERATIONAL SPENDING ON ~~[TEACHER PAY]~~
9 [DIRECT INSTRUCTIONAL EXPENSES], BOTH OF THE FOLLOWING APPLY:

10 (a) THE AUDITOR GENERAL MAY NOT CONSIDER THE REDUCTION
11 WHEN CALCULATING THE AMOUNT OF THE ANNUAL INCREASE THAT IS
12 REQUIRED BY THIS SUBSECTION FOR THE SCHOOL DISTRICT.

13 (b) THE SCHOOL DISTRICT MAY COUNT ONLY THE PORTION OF
14 AN INCREASE IN OPERATIONAL SPENDING ON ~~[TEACHER PAY]~~ [DIRECT
15 INSTRUCTIONAL EXPENSES] FOR A SUBSEQUENT YEAR THAT RESULTS IN
16 AN INCREASE ABOVE THE PORTION OF OPERATIONAL SPENDING BEFORE
17 THE REDUCTION.

18 B. IF THE AUDITOR GENERAL DETERMINES THAT A SCHOOL
19 DISTRICT ~~[IS]~~ [DID] NOT ~~[COMPLYING]~~ [COMPLY] WITH THE
20 REQUIREMENTS PRESCRIBED BY SUBSECTION A OF THIS SECTION [IN
21 THE IMMEDIATELY PRECEDING FISCAL YEAR] AND IF THE SCHOOL
22 DISTRICT RECEIVES MONIES FROM THE CLASSROOM SITE FUND
23 ESTABLISHED BY SECTION 15-977~~[7]~~.

24 ~~1. ANY UNEXPENDED AND UNENCUMBERED MONIES DISTRIBUTED~~
25 ~~TO THE SCHOOL DISTRICT FROM THE CLASSROOM SITE FUND REVERT TO~~
26 ~~THE CLASSROOM SITE FUND.~~

27 ~~2.][, THE DEPARTMENT SHALL REDUCE] THE SCHOOL [DISTRICT~~
28 ~~IS INELIGIBLE TO RECEIVE MONIES FROM THE CLASSROOM SITE FUND~~
29 ~~UNTIL THE OFFICE OF THE AUDITOR GENERAL DETERMINES THAT THE~~
30 ~~SCHOOL DISTRICT IS IN COMPLIANCE] [DISTRICT'S ALLOCATION~~
31 ~~PURSUANT TO SECTION 15-977, SUBSECTION G FOR THE BUDGET YEAR~~
32 ~~BY THE FOLLOWING AMOUNTS:~~

33 1. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR ONE YEAR,
34 AN AMOUNT THAT IS EQUAL TO TWENTY-FIVE PERCENT OF THE AMOUNT
35 THAT WOULD OTHERWISE BE ALLOCATED TO THE SCHOOL DISTRICT.

36 2. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR TWO YEARS,
37 AN AMOUNT THAT IS EQUAL TO FIFTY PERCENT OF THE AMOUNT THAT
38 WOULD OTHERWISE BE ALLOCATED TO THE SCHOOL DISTRICT.

1 3. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR THREE
2 YEARS, AN AMOUNT THAT IS EQUAL TO SEVENTY-FIVE PERCENT OF THE
3 AMOUNT THAT WOULD OTHERWISE BE ALLOCATED TO THE DISTRICT.

4 4. IF THE SCHOOL DISTRICT DID NOT COMPLY FOR AT LEAST
5 FOUR YEARS, AN AMOUNT THAT IS EQUAL TO THE AMOUNT THAT WOULD
6 OTHERWISE BE ALLOCATED TO THE DISTRICT].

7 ~~[B.] [C.] THE STAFF OF THE JOINT LEGISLATIVE BUDGET~~
8 ~~COMMITTEE SHALL INCLUDE MONIES THAT [REVERT PURSUANT TO] [ARE~~
9 ~~NOT DISTRIBUTED BECAUSE OF REDUCTIONS REQUIRED BY SUBSECTION B~~
10 ~~OF] THIS [SUBSECTION] [SECTION] IN THE CARRYFORWARD [AND~~
11 ~~ADJUST THE PER PUPIL CALCULATIONS PURSUANT TO] [FOR THE~~
12 ~~PURPOSES OF] SECTION 15-977, SUBSECTION G, PARAGRAPH 1 [TO~~
13 ~~EXCLUDE THE WEIGHTED STUDENT COUNT FOR ANY SCHOOL DISTRICT~~
14 ~~THAT IS INELIGIBLE PURSUANT TO THIS SUBSECTION].~~

15 ~~[C.] [D.] THE SUPERINTENDENT OF PUBLIC INSTRUCTION MAY~~
16 ~~WAIVE THE REQUIREMENTS PRESCRIBED BY SUBSECTION B OF THIS~~
17 ~~SECTION FOR A SCHOOL DISTRICT SUBJECT TO THE FOLLOWING:~~

18 ~~1. THE DURATION OF A WAIVER PURSUANT TO THIS SUBSECTION~~
19 ~~MAY NOT EXCEED ONE YEAR.~~

20 ~~2. THE SUPERINTENDENT OF PUBLIC INSTRUCTION MAY NOT~~
21 ~~ISSUE [A WAIVER] [MORE THAN TWO WAIVERS] FOR A SCHOOL DISTRICT~~
22 ~~[FOR MORE THAN TWO CONSECUTIVE YEARS] [DURING ANY TEN-YEAR~~
23 ~~PERIOD, EXCEPT AS PROVIDED IN PARAGRAPH 3 OF THIS SUBSECTION.~~

24 ~~3. IF THE SUPERINTENDENT ISSUES A SECOND WAIVER FOR A~~
25 ~~SCHOOL DISTRICT MORE THAN FOUR YEARS AFTER THE DATE ON WHICH~~
26 ~~THE SUPERINTENDENT ISSUES A FIRST WAIVER FOR THE SCHOOL~~
27 ~~DISTRICT, THE SUPERINTENDENT MAY ISSUE ANOTHER WAIVER FOR THE~~
28 ~~SCHOOL DISTRICT AT ANY TIME DURING THE TEN-YEAR PERIOD THAT~~
29 ~~BEGINS ON THE DATE THAT THE SUPERINTENDENT ISSUES THE SECOND~~
30 ~~WAIVER].~~

31 ~~[D.] [E.] THIS SECTION DOES NOT REQUIRE THIS STATE OR~~
32 ~~AN OFFICER OR AGENCY OF THIS STATE TO MAINTAIN THE CLASSROOM~~
33 ~~SITE FUND ESTABLISHED BY SECTION 15-977 OR ALLOCATE MONIES FOR~~
34 ~~A CLASSROOM SITE FUND EXCEPT AS OTHERWISE PROVIDED BY THE LAWS~~
35 ~~OF THIS STATE.~~

36 ~~[F. THE AUDITOR GENERAL SHALL DEFINE "DIRECT~~
37 ~~INSTRUCTIONAL EXPENSES" AND "OPERATIONAL SPENDING" FOR THE~~
38 ~~PURPOSES OF THIS SECTION.]~~

39 ~~[E. FOR THE PURPOSES OF THIS SECTION:~~

40 ~~1. "TEACHER" MEANS ANY INDIVIDUAL WHO IS CLASSIFIED AS~~
41 ~~A TEACHER IN THE UNIFORM SYSTEM OF FINANCIAL RECORDS.~~

42 ~~2. "TEACHER PAY" INCLUDES THE BASE SALARY, PERFORMANCE~~
43 ~~PAY, OTHER COMPENSATION AND ALL EMPLOYEE BENEFITS THAT A~~
44 ~~TEACHER RECEIVES AND THAT ARE PAID FOR BY THE SCHOOL~~
45 ~~DISTRICT.]~~

1 2. The Secretary of State shall submit this proposition to the
2 voters at the next general election as provided by article IV, part 1,
3 section 1, Constitution of Arizona."

4 Enroll and engross to conform

5 Amend title to conform

JAKE HOFFMAN

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03/17/2026

5:27 PM

C: VS

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